

nature of extra service rendered. Perhaps their chief value to their clients lies in shielding them from costly mistakes. They offer as much as the defensive investor has the right to expect from any counselor serving the general public.

What we have said about the well-established investment-counsel firms applies generally to the trust and advisory services of the larger banks.\*

## **Financial Services**

The so-called financial services are organizations that send out uniform bulletins (sometimes in the form of telegrams) to their subscribers. The subjects covered may include the state and prospects of business, the behavior and prospect of the securities markets, and information and advice regarding individual issues. There is often an “inquiry department” which will answer questions affecting an individual subscriber. The cost of the service averages much less than the fee that investment counselors charge their individual clients. Some organizations—notably Babson’s and Standard & Poor’s—operate on separate levels as a financial service and as investment counsel. (Incidentally, other organizations—such as Scudder, Stevens & Clark—operate separately as investment counsel and as one or more investment funds.)

The financial services direct themselves, on the whole, to a quite different segment of the public than do the investment-counsel firms. The latter’s clients generally wish to be relieved of bother and the need for making decisions. The financial services offer information and guidance to those who are directing their own financial affairs or are themselves advising others. Many of these services confine themselves exclusively, or nearly so, to forecasting market movements by various “technical” methods. We shall dismiss these with the observation that their work does not concern “investors” as the term is used in this book.

On the other hand, some of the best known—such as Moody’s Investment Service and Standard & Poor’s—are identified with statistical organizations that compile the voluminous statistical data that form the basis for all serious security analysis. These services have a varied clientele, ranging from the most conservative-minded investor to the rankest speculator. As a result they must find it difficult to adhere to any clear-cut